



Central bank

The central bank creates and supplies reserve money to commercial banks, giving it huge power over the day-to-day workings of the banking system. Usually, the central bank will try to maintain its target interest rate by pumping reserve money into or out of the banks. This affects demand for reserve money and, therefore, the price the central bank can charge commercial banks to borrow—the reserve rate.

Reserve rate too high

When there is high demand for central bank money, the reserve interest rate rises.

Reserve rate too low

When the demand for central bank money is low, the reserve interest rate falls.

Commercial bank reserves

The central bank pumps more of its money into commercial bank reserves, lowering the interest rate and bringing it back in line with the target interest rate.

The central bank sucks reserve money out of the system, bringing the base rate up and back in line with its target.

TARGET RESERVE INTEREST RATE

PUSHING RATE DOWN

The central bank buys securities from the commercial banks, so increasing the amount of central bank reserves in the system. As more money is available, the cost of borrowing—the interest rate—decreases.

PUSHING RATE UP

To increase the interest rate, it sells securities to commercial banks, so reducing the quantity of central bank reserves in the system. As a result, demand for money and the cost of borrowing it goes up.

